



ATHI RIVER MINING LIMITED



Annual Report and Financial Statements

2005

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NOTICE OF THE ANNUAL GENERAL MEETING

TO ALL SHAREHOLDERS

NOTICE is hereby given of the 2006 Annual General Meeting to be held at the Intercontinental Hotel, Mara South Room, Nairobi on Thursday, 8th June 2006 at 11.00 a.m.

AGENDA

1. To read the Notice convening the meeting.
2. To approve the minutes of the previous Annual General Meeting held on 17th June 2005.
3. To receive, consider and adopt the Balance Sheet and Accounts for the year ended 31st December 2005 together with the Reports thereon of the Directors and Auditors.
4. To approve the Directors Remuneration as provided in the accounts for the year ended 31st December 2005.
5. To approve the payment of a first and final dividend of Kshs. 0.75 per share in respect of the year ended 31st December 2005.
6. To re-elect Directors:
 - i) Bamburi Cement Limited retires by rotation under the provisions of Article 95 of the Articles of Association and, being eligible, offers themselves for re-election.
 - ii) Dr. M. Gondwe retires by rotation under the provisions of Article 95 of the Articles of Association and, being eligible, offers himself for re-election.
7. To note that Deloitte & Touche continue in office as auditors in accordance with the provisions of Sec. 159(2) of the Companies Act and to authorise the Directors to fix their remuneration for the ensuing financial year.

By Order of the Board

R.R. Vora

Secretary

Date: 13th March 2006

Note: A member entitled to attend and vote at the Meeting is entitled to appoint one or more proxies to attend in his stead. A proxy need not also be a member.

DIRECTORS AND CORPORATE INFORMATION

Directors

Mr B Rogers	-	Chairman
Mr H J Paunrana	-	Vice-Chairman
Mr P H Paunrana	-	Managing Director
Mr S L Bhatia*	-	Deputy Managing Director
Mr W Murungi		
Mr P J Rune		
Mr T Mbathi		
Dr M Gondwe**		
Bamburi Cement Limited		

* Indian

** Zambian

Audit Committee

Mr T Mbathi	-	Chairman
Mr W Murungi		
Mr B Rogers		

Nomination & Remuneration Committee

Mr B Rogers	-	Chairman
Mr T Mbathi		
Mr W Murungi		

Secretary

Mr R R Vora
Marakwet House
P O Box 48405
00100 GPO Nairobi

Registered Office

L R 209/74/7/2, Chiromo Road
Westlands
P O Box 41908
00100 GPO Nairobi

Auditors

Deloitte & Touche
"Kirungii", Ring Road, Westlands
P O Box 40092
00100 GPO Nairobi

Bankers

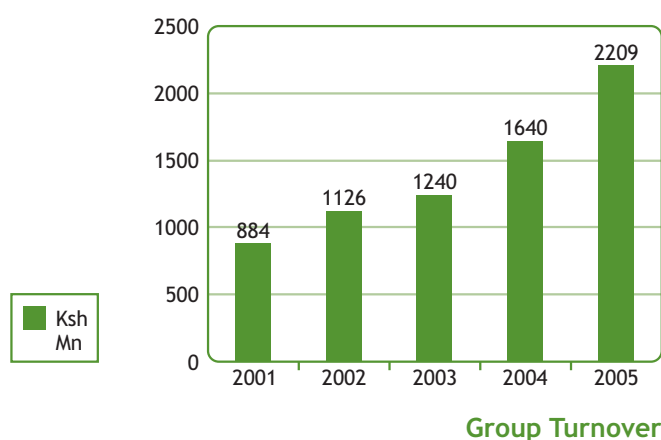
Barclays Bank of Kenya Limited
Barclays Plaza Branch
P O Box 46661
00100 GPO
Nairobi

Bank of Africa Kenya Limited
P O Box 69562
00400 Nairobi

Stanbic Bank Kenya Limited
Kenyatta Avenue
P O Box 30550
00100 GPO Nairobi

CHAIRMAN'S STATEMENT

It is my pleasure to present the Company's Annual Report for the year ended December 31st, 2005. The Company completed the first five-year strategic plan with turnover increasing from Ksh 884 million in 2001 to Ksh 2.2 billion in 2005, an increase of 150%. During the same five year period, profit after tax and minority interest increased from Ksh 34 million to Ksh 195 million, an increase of 474%. On behalf of the Board, I congratulate, and record my appreciation, for the contribution made by the company's management team and the entire staff in the growth and shareholder wealth creation in the Company.

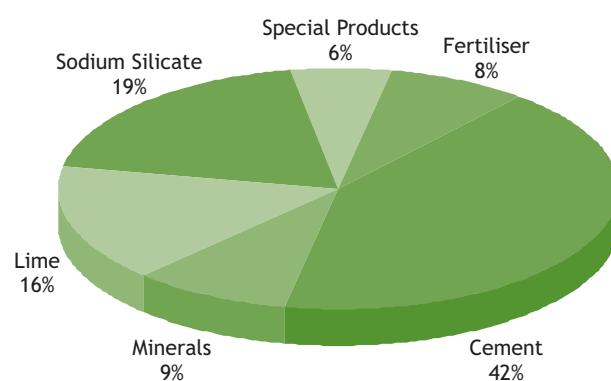


2001 - 2005 Strategy Review

During this five-year period, ARM grew and consolidated the various product lines into business divisions, diversified regionally with new manufacturing plants in Tanzania and South Africa, and introduced new products and businesses. One significant new business line is the manufacture of crop specific, soil specific fertilizers under the brand name "Mavuno Fertilizers".

Over the past few years the Company strengthened all its manufacturing plants by introducing energy efficient technologies, built new capacities, and benchmarked its production costs to international cost and quality standards. In 2003, the Company achieved quality certification, ISO 9001 2000, for its cement, lime and sodium silicate divisions. In 2005 the Company also obtained certification for environmental management systems, ISO 14001. These initiatives have allowed the Company not only to reduce its cost of production, but also to compete in a liberalized market throughout the region.

An important part of the strategy during this period was to create an organizational structure and depth of management to support the growth and diversification of the Company. Whilst this is still an ongoing process, I am proud to say that the Company has invested in the human capital required for efficient operational and financial controls, as well as to service our customers and grow our businesses across the region.



Divisional Turnover 2005

Diversification of financial risk, business risk, and geographical market risk was also a key element of our first five-year strategy. This was successfully achieved with dependence on cement, and the Kenyan economy having been significantly reduced. Today, cement contributes 42% of our turnover, as compared to 67% in 2001. Export earnings and turnover from our subsidiaries in Tanzania and South Africa, now contribute 31% of total turnover, compared to 15% in 2001.

Finally the Board also recognized that the Company have an important role in community development, environmental care and policy advocacy at the national level. The Company's management and staff have all been actively involved and committed in these areas and are strongly committed to the Company's corporate social responsibilities.

Ongoing initiatives include the construction of a girl's school hostel, school laboratory and classrooms, a medical clinic, building of water dams and cattle drinking troughs, and contribution towards a variety of charities dedicated to community service. The Company employs the latest available technologies in environmental emission control and adopts best

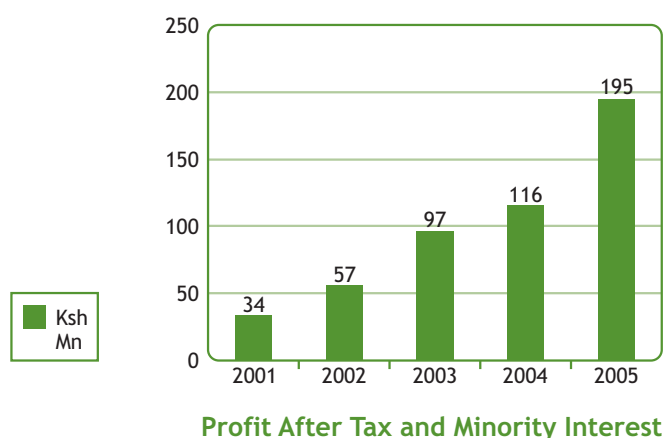
CHAIRMAN'S STATEMENT - continued

industry practice in environmental management. Our staff are also actively involved in tree planting, not only at the Company's own quarries and plants, but throughout the country by providing free seedlings to schools, churches, women's groups and community centers. At the national level, our Managing Director has been involved in infrastructure policy advocacy through his Directorship of the Kenya Association of Manufacturers. He is currently the chairman of the Permanent Power Supply Committee of the Ministry of Energy.

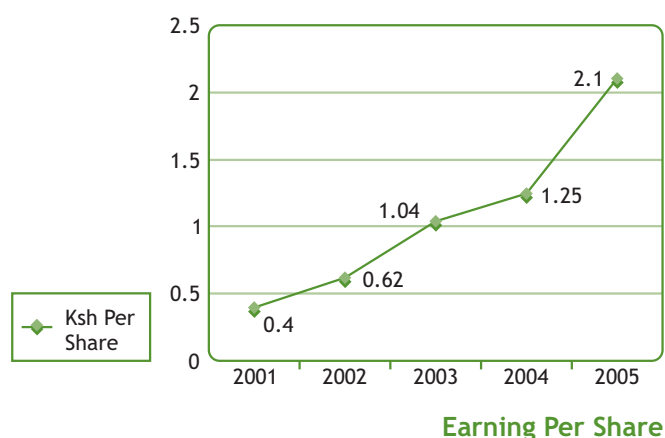
Our strategic vision for the five years ahead, 2006-2010 was articulated in my statement of last year. This builds on the achievements so far, and the management will continue to grow and strengthen the Company.

2005 Annual Results

Group turnover grew by 35% from Ksh. 1.64 billion in 2004 to Ksh. 2.21 billion in 2005. This increase was driven by higher capacity utilization across all divisions except cement. Although the domestic market for cement has been growing at around 12% per annum for the last the few years, our manufacturing capacity has been limited. This will improve after we commission the new rotary kiln clinker plant in July this year. The fertilizer division grew significantly during 2005, contributing 8% of the total turnover. The silicate division turnover grew by 72% over the previous year, contributing 19% of the total turnover, with the South African subsidiary driving the increase.

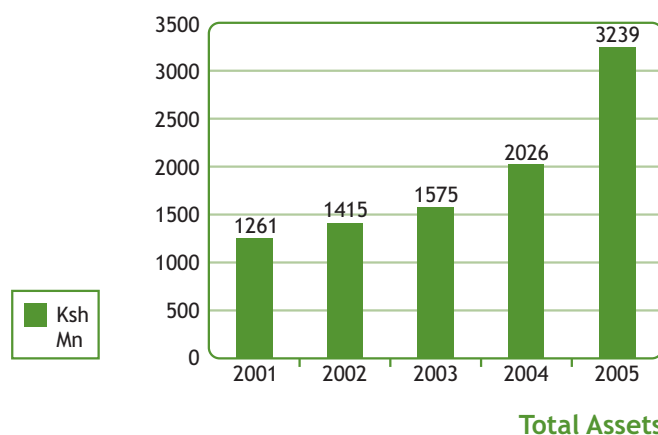


Profit after tax and minority interest grew by 68% from Ksh 116 million (2004) to Ksh 195 million (2005). Although turnover grew by 35%, profit after tax before minority interest increased by 71%, in line with our forecast of the previous year. Overall, increased profitability can be attributed to improved operating efficiencies, higher capacity utilization and keeping fixed costs under control.



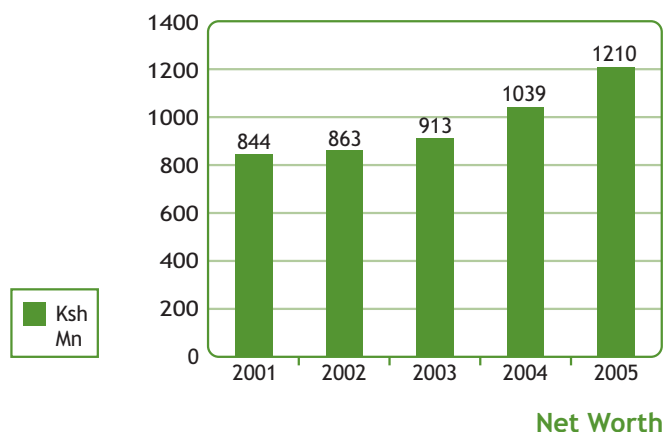
As a result of the increased profit after tax and minority interest, earnings per share also increased by 68% from Ksh 1.25 in 2004, to Ksh 2.10 in 2005.

The total asset base of the Group Companies has increased from Ksh.2.03 billion in 2004 to Ksh.3.24 billion in 2005 primarily as the result of investments in new capacities for clinker and sodium silicate. The Company has also raised Ksh 800 million through a 5 year listed bond for part funding the clinker plant at Kaloleni. The balance of the funds US\$ 6 million for construction of the new clinker plant was raised through a 10 year long term loan from PTA Bank. As a result, consolidated net debt rose from Ksh.367 million in 2004 to Ksh.1.106 billion in 2005



CHAIRMAN'S STATEMENT - continued

Total cash generated (profit after tax + depreciation) increased from Ksh.202 million in 2004 to Ksh.292 million in 2005, a growth of 45%. Net worth also improved from Ksh.844 million in 2001 to Ksh.1.21 billion in 2005.



Subsidiary Companies

ARM (T) Ltd has completed a second full year of operations in 2005. The power and fuel oil supply position improved in Tanzania last year, leading to higher capacity utilization and production at the plant. Consequently, turnover in Tanzania grew by 89% to Ksh 245 million.

The Company also commissioned a new industrial minerals plant at Tanga, which has also operated to near full capacity during this year.

ARMSA (Pty) Ltd, South African also had a full year of operations. The Company expanded its market share and customer base in South Africa. As a result turnover has increased to Ksh 129 million.

Mavuno Fertilizers Ltd was set up as a wholly owned ARM subsidiary last year to grow the fertilizer division. This Company will commence operations later this year

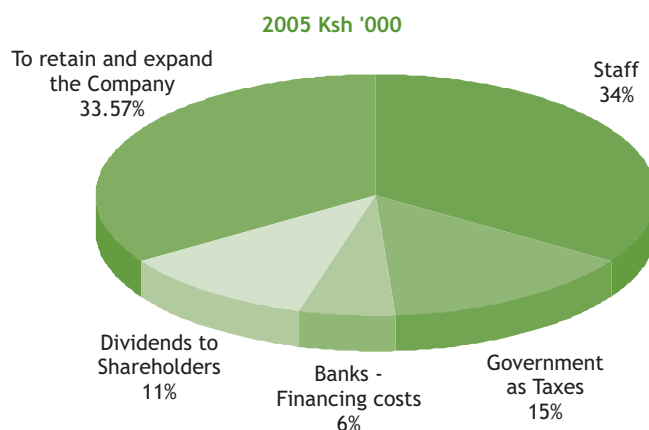
Credit Rating 2005

I am pleased to report that Global Credit Rating, South Africa has re-confirmed its rating of ARM at A1 for Short Term, indicating a high certainty of timely payments, excellent liquidity factors supported by good fundamental protection factors and with minor risk factors. The rating of A for Long Term indicates high credit quality, good protection but with small risk factors that are variable due to economic cycles.

	2001	2002	2003	2004	2005
Short Term	A3	A2	A-1	A1	A1
Long Term	BBB	A-	A	A	A

Wealth Creation

Athi River Mining Ltd has now become an important creator of wealth in the Kenyan economy. Through its activities in mineral extraction, mainly in the rural areas, transportation, capital intensive processing at its factories and distribution throughout Kenya and across 11 other countries in Africa, we create employment for a large number of people, both directly and indirectly. The Company's products are in themselves primary input raw materials for over 50 different industries in all sectors of the economy.



Divisional Turnover 2005

The value added by the company in 2005 was Ksh 648 million, derived as the difference between turnover and purchase of raw materials and services (Ksh 2,209 million less Ksh 1,561 million). This added value was distributed amongst staff (Ksh 224 million), shareholders (Ksh 74 million), providers of finance (Ksh 37 million), the Government in form corporate tax (Ksh 96 million), and the balance was retained to grow the company (Ksh 218 million). The company contribution to the Kenya Revenue Authority by way of direct and indirect taxes exceeded Ksh. 325 million in 2005.

CHAIRMAN'S STATEMENT - continued

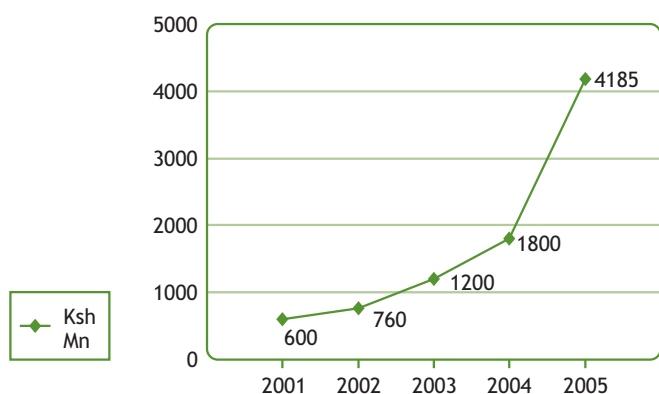
Market Capitalization & Share Holder Value



Relative Base 100 Share

During 2005, the Company's share price increased from about Ksh 15 in January to Ksh 45 by the end of the year. The share price graph also exceeded the NSE Share Index as well as growth in the share price of other cement companies in Kenya.

The market capitalization of the company grew by 270% during 2005 indicating a strong investor confidence in the company.



Market Capitalization at year end

Employee Share Ownership Scheme

During the Annual General Meeting of June 2005, the shareholders passed a resolution increasing the authorized Share Capital of the Company to allow for the establishment of an Employee Share Ownership Plan (ESOP). In accordance with the regulations of the Capital Markets Authority, a trust deed and rules of ESOP were submitted to the Authority, and is awaiting approval. The Employee Share Ownership Plan will allow the Company to build and retain a strong and committed management team and staff for the next phase of the Company's growth, not only in Kenya but throughout Africa.

Outlook for 2006

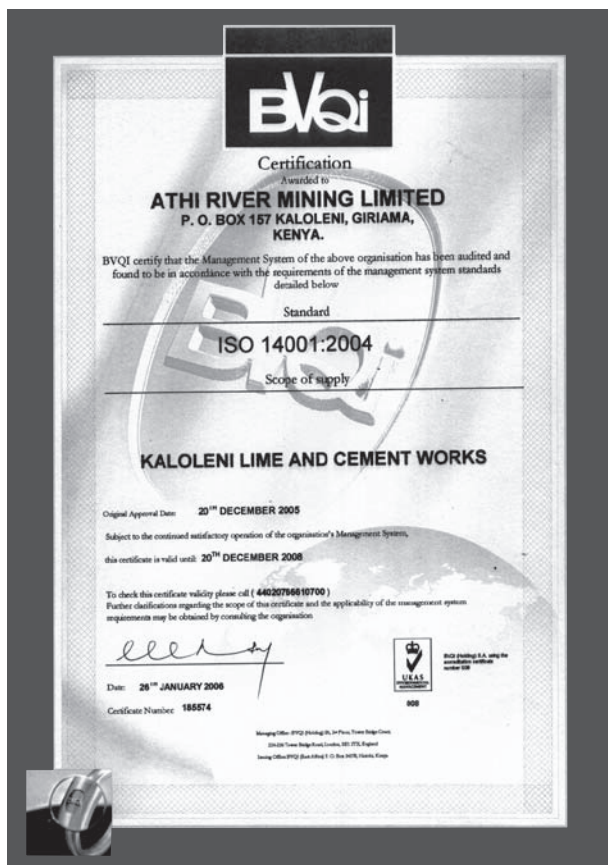
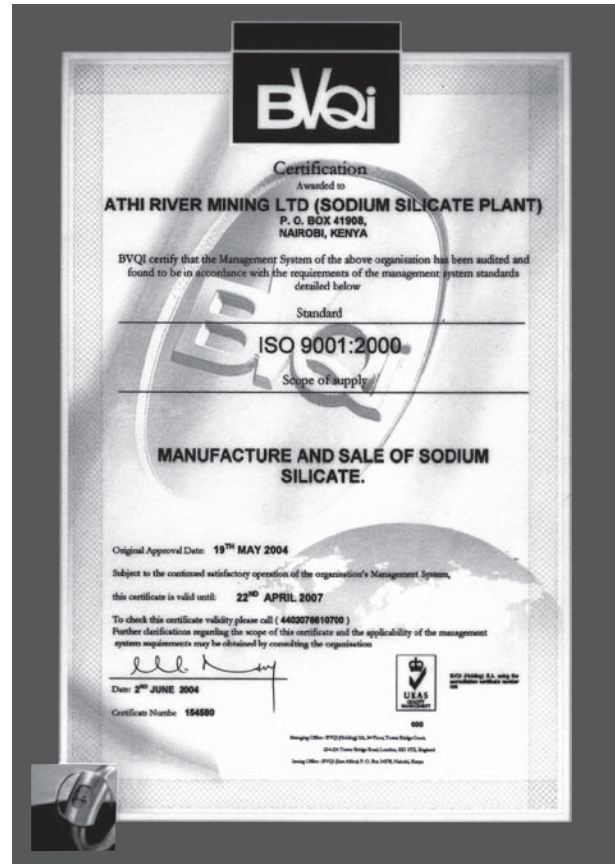
The Cement Clinker project is in advanced stage of completion and is expected to be ready for commercial production in the second half of the year. This will significantly reduce the cost of clinker for ARM and double the present cement capacity. Photographs of the various stages of construction of the Clinker plant are shown on the cover of this year's report.

The Company also plans to further increase its capacity of sodium silicate in Kenya. Keeping in view the increasing demand for Lime and the high economic growth rate in Tanzania, the Company will double the capacity at Tanga. Similarly, the South African Company is also growing rapidly, and the Company expects improved performance in our silicate in South Africa. Although the Company is positive about the year ahead, a few areas of concern remain. These include rising electricity and energy costs, the low level of budgetary allocation for infrastructure development in Kenya, and effects of the recent drought on the economy.

Dividend

The Directors are pleased to recommend a first and final dividend of Ksh.0.75 per share for the year 2005 (Ksh. 0.40 per share for 2004).

Brian Rogers
Chairman



" Our business is to enhance our customer's competitiveness. We do this by providing service and products that are benchmarked to international quality standards and by using industry best practices in our manufacturing activities."

Pradeep H. Paurana
Managing Director
Athi River Mining Ltd

STATEMENT OF CORPORATE GOVERNANCE

ARM Corporate Governance Principles

Principle One - Leadership

The board will exercise leadership, enterprise integrity and judgment in directing the company to achieve continuing prosperity and to act in the best interest of the company based on transparency, accountability and responsibility.

Principle Two - Strategy & Value

The board will determine the company's purpose and values, determine the strategy to achieve its purpose and implement its values in order to ensure that the company survives and practices are in place to protect company's assets.

Principle Three - Company's Performance

The board will monitor and evaluate the implementation of strategies, policies and business plans and the operational results on regular basis.

Principle Four - Compliance

The board will ensure that the company complies with all relevant laws, regulations and codes of best business practice.

Principle Five - Communication

The board will ensure that the company communicates with shareholders and other stakeholders effectively.

Principle Six - Accountability to shareholders

The board will serve the legitimate interests of all the shareholders of the company and account to them fully. The Board will ensure equality in its responsibility to the shareholders and will act in the best interest of the company rather than in the interest of any interest group/shareholder.

Principle Seven - Relationship with stakeholders

The board will identify the company's internal and external stakeholders and agree on policies determining how the company will relate to them.

Principle Eight - Board Appointments

The board will ensure that through a managed and effective process board appointments are made that provide a mix of proficient directors each of whom are able to add value and to bring independent judgement to bear on the decision making process.

Principle Nine - Balance of Power

The board will ensure that no one person or a block of persons will have unlimited power and that there is an appropriate balance of power and authority on the board which will be reflected by separating the roles of the Chief Executive officer and Chairman, and by having a balance between executive and non executive directors.

Principle Ten - Internal Procedures

The board will regularly review process and procedures to ensure the effectiveness of internal systems and control, so that its decision making capability and the accuracy of its reporting and financial results are maintained at levels at all times.

Principle Eleven - Management Appointments and Development

The board will appoint the members as well as participate in the appointment of the senior management, to ensure the motivation and protection of intellectual capital of the company, and to ensure that there is adequate training for management and employees, and that there is a succession plan for senior management.

Principle Twelve - Board Performance Assessment

The board will regularly and periodically assess its performance and effectiveness as a whole in directing the company towards achieving its objectives as well as the performance of all senior management team.

Principle Thirteen - Technology

The board will ensure that the technology process and systems used are adequate to properly run the business, achieve international benchmarks in quality and cost so that the company can be a meaningful competitor in the market.

Principle Fourteen - Risk Management

The board must identify key risk areas and key performance indicators of the business enterprise and monitor the factors on regular basis.

Principle Fifteen - Annual Review of future solvency

The board must ensure annually that the company will continue as a going concern for its next fiscal year.

Principle Sixteen - Shareholders

The board is committed to the protection of the rights of the shareholders and ensures equitable treatment of all its shareholders.

Principle Seventeen - Stakeholders

The board recognizes the rights of all stakeholders as established in law and will encourage active co-operation between company and the stakeholders in creating wealth, jobs and sustain ability of a financially sound company.

Principle Eighteen - Disclosure and Transparency

The directors will ensure that timely and accurate disclosures are made on all material matters relating to the financial situation, performance, ownership and governance of the company.

STRATEGIC VISION 2006 - 2010

We see ARM as a regional African Company with its core strength in manufacturing and processing of mineral raw materials. Through investment in technology we expect to achieve international benchmarks in cost and quality in every business unit and through continuous investment in our human capital, we expect to create an organizational infrastructure that can maintain the growth rates.

ARM envisions being a major manufacturer of Lime in Africa and plans to achieve this objective by doubling capacity in Tanzania and through acquisitions in other countries.

In Sodium Silicate, the Company plans to expand its activities into North Africa and the Middle East, whilst in the minerals division market leadership in the region will be maintained by increasing capacity, introducing new manufacturing technology and improving plant efficiencies.

The Company plans to grow markets in Kenya and the region for the products already introduced in the Special Products Division, and continue to introduce new products with the objective of reducing construction costs in the region.

In the Cement division the company will achieve competitive manufacturing cost structure with the planned clinker plant expansion. The increased capacity will also ensure that the company is in a position to maintain its market share in a growing market.

Through a regional marketing and distribution network the company intends to become a farmer focused, fertilizer manufacturer using local raw materials. The Company plans to contribute to the regions food security by providing crop specific, soil specific fertilizer which would increase crop yields substantially.

The Board is fully committed to this 5 year Vision which is founded on sound management and good corporate governance.

"As we grow our business across Africa, our success will be measured not by financial performance alone, but by the value we bring to our customers, to our employees and to the communities we operate in. We will progress from simply being successful, to being significant in everything we do."

Pradeep H. Paurana
Managing Director
Athi River Mining Ltd

REPORT OF THE DIRECTORS

The directors present their report together with the group audited financial statements for the year ended 31 December 2005.

ACTIVITIES

The principal activities of the group are the manufacture and sale of cement, the mining and processing of industrial minerals and chemicals and the trading in other building products.

RESULTS

	2005	2004
	Sh'000	Sh'000
Consolidated profit before taxation	295,920	172,368
Taxation expense	(96,416)	(55,650)
Profit before minority interest	199,504	116,718
Minority interest	(4,380)	(720)
Net profit for the year	195,124	115,998
Earnings per share	Sh 2.10	Sh 1.25

DIVIDENDS

The directors propose the payment of a first and final dividend of Sh 0.75 (2004 - Sh 0.40) per share totaling Sh 69,750,000 in respect of the year ended 31 December 2005 (2004 - Sh 37,200,000).

DIRECTORS

The present directors are shown on page 2.

AUDITORS

Deloitte & Touche, having expressed their willingness, continue in office in accordance with section 159 (2) of the Companies Act.

BY ORDER OF THE BOARD

R R Vora
Secretary
Nairobi

13th March 2006

STATEMENT OF DIRECTORS' RESPONSIBILITIES

The Companies Act requires the directors to prepare financial statements for each financial year which give a true and fair view of the state of affairs of the group and the company as at the end of the financial year and of the operating results of the group for that year. It also requires the directors to ensure the group and the company keep proper accounting records which disclose with reasonable accuracy at any time the financial position of the group and the company. They are also responsible for safeguarding the assets of the group.

The directors accept responsibility for the annual financial statements, which have been prepared using appropriate accounting policies supported by reasonable and prudent judgements and estimates, in conformity with International Financial Reporting Standards and in the manner required by the Companies Act. The directors are of the opinion that the financial statements give a true and fair view of the state of the financial affairs of the group and the company and of its operating results. The directors further accept responsibility for the maintenance of accounting records which may be relied upon in the preparation of financial statements, as well as adequate systems of internal financial control.

Nothing has come to the attention of the directors to indicate that the company and its subsidiaries will not remain going concerns for at least the next twelve months from the date of this statement.

Brian Rogers
Chairman

Pradeep H Paunrana
Director

13th March 2006

INDEPENDENT AUDITORS' REPORT to the Members of Athi River Mining Limited

Deloitte.

Deloitte & Touche
Certified Public Accountants (Kenya)
"Kirungii"
Ring Road, Westlands
P.O. Box 40092 - GPO 00100
Nairobi
Kenya

Tel: + (254 - 20) 444 1344/05-12
Fax: + (254 - 20) 444 8966
Dropping Zone No. 92
Email: admin@deloitte.co.ke

REPORT OF THE AUDITORS

We have audited the financial statements on pages 12 to 37 for the year ended 31 December 2005 and have obtained all the information and explanations which, to the best of our knowledge and belief, were necessary for the purposes of our audit.

Respective responsibilities of directors and auditors

As described on page 11, the directors are responsible for the preparation of the financial statements. Our responsibility is to express an opinion on those financial statements based on our audit.

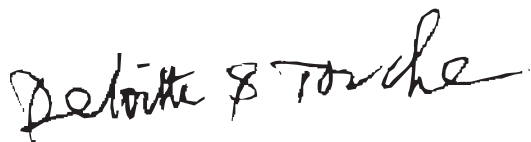
Basis of opinion

We conducted our audit in accordance with International Standards on Auditing. Those standards require that we plan and perform the audit to obtain reasonable assurance as to whether the financial statements are free of material misstatement. An audit includes examining, on a test basis, evidence supporting the amounts and disclosures in the financial statements, assessing the accounting principles used and significant estimates made by the directors, and evaluating the overall financial statement presentation. We believe that our audit provides a reasonable basis for our opinion.

Opinion

In our opinion:

- (a) proper books of account have been kept by the company and the company's balance sheet is in agreement therewith.
- (b) the financial statements give a true and fair view of the state of affairs of the company and the group at 31 December 2005 and of the profit and cash flows of the group for the year ended on that date, in accordance with International Financial Reporting Standards and comply with the Kenyan Companies Act.



Nairobi

13th March 2006

Audit .Tax . Consulting . Financial Advisory .

A member firm of
Deloitte Touche Tohmatsu

Partners: D.M. Ndonge H. Gadhoke* J.M. Kiarie M.M. Kisuu S.O. Onyango J. W. Wangai
* British

CONSOLIDATED INCOME STATEMENT

for the year ended 31 December 2005

		2005	2004
	Note	SH'000	SH'000
Turnover		2,208,724	1,639,508
Cost of sales		(1,468,327)	(1,094,493)
Gross profit		740,397	545,015
Other operating income		15,169	507
Distribution costs		(214,540)	(161,408)
Administrative expenses		(217,374)	(197,528)
Other operating expenses		(5,562)	(44)
Operating profit	3	318,090	186,542
Finance costs (net)	4	(22,170)	(14,174)
Profit before taxation		295,920	172,368
Taxation charge	6	(96,416)	(55,650)
Profit for the year		199,504	116,718
Attributable to:			
Equity holders of the parent		195,124	115,998
Minority interest	16	4,380	720
Net profit for the year		199,504	116,718
Earnings per share basic/diluted	8	sh 2.10	sh 1.25

CONSOLIDATED BALANCE SHEET

as at 31 December 2005

		2005	2004
	Note	Sh'000	Sh'000
ASSETS			
Non current assets			
Property, plant and equipment	9(a)	2,168,985	1,333,281
Operating lease prepayments	10	12,642	9,348
		<u>2,181,627</u>	<u>1,342,629</u>
Current assets			
Inventories	12	281,266	323,469
Trade and other receivables	13	473,584	348,221
Cash and bank balances		302,187	11,672
		<u>1,057,037</u>	<u>683,362</u>
Total assets		<u>3,238,664</u>	<u>2,025,991</u>
EQUITY AND LIABILITIES			
Capital and reserves			
Share capital	15	465,000	465,000
Share premium		241,477	241,477
Revaluation surplus		40,519	42,251
Revenue reserve		415,223	237,460
		<u>1,162,219</u>	<u>986,188</u>
Equity attributable to equity holders of the parent			
Minority interest	16	47,750	53,039
		<u>1,209,969</u>	<u>1,039,227</u>
Total equity			
Non current liabilities			
Borrowings	17 (a)	1,288,831	158,405
Deferred income taxes	18	201,963	160,375
Finance leases	19	17,436	13,367
		<u>1,508,230</u>	<u>332,147</u>
Current liabilities			
Trade and other payables	20	389,885	422,887
Borrowings	17 (a)	90,018	201,460
Current tax payable		27,620	23,914
Finance leases	19	12,389	5,785
Unclaimed dividends		553	571
		<u>520,465</u>	<u>654,617</u>
Total equity and liabilities		<u>3,238,664</u>	<u>2,025,991</u>

The financial statements on pages 13 to 37 were approved by the board of directors on 13th March 2006 and were signed on its behalf by:

Brian Rogers
Chairman

Pradeep H Paunrana
Director

COMPANY BALANCE SHEET

as at 31 December 2005

		2005	2004
	Note	Sh'000	Sh'000
ASSETS			
Non current assets			
Property, plant and equipment	9(b)	1,942,949	1,068,122
Operating lease prepayments	10	2,281	2,348
Investment in subsidiaries	11	143,212	143,212
		<u>2,088,442</u>	<u>1,213,682</u>
Current assets			
Inventories	12	205,720	275,799
Trade and other receivables	13	399,509	279,101
Due from related parties	14	109,492	56,981
Cash and bank balances		294,388	11,152
		<u>1,009,109</u>	<u>623,033</u>
Total assets		<u>3,097,551</u>	<u>1,836,715</u>
EQUITY AND LIABILITIES			
Capital and reserves			
Share capital	15	465,000	465,000
Share premium		241,477	241,477
Revaluation surplus		40,519	42,251
Revenue reserve		439,854	235,974
Total equity		<u>1,186,850</u>	<u>984,702</u>
Non current liabilities			
Borrowings	17 (b)	1,209,983	81,031
Deferred income taxes	18	199,598	160,079
Finance leases	19	17,436	10,257
		<u>1,427,017</u>	<u>251,367</u>
Current liabilities			
Trade and other payables	20	357,732	375,474
Borrowings	17 (b)	85,389	194,902
Current tax payable		27,621	23,914
Finance leases	19	12,389	5,785
Unclaimed dividends		553	571
		<u>483,684</u>	<u>600,646</u>
Total equity and liabilities		<u>3,097,551</u>	<u>1,836,715</u>

The financial statements on pages 13 to 37 were approved by the board of directors on 13th March 2006 and were signed on its behalf by:

Brian Rogers
Chairman

Pradeep H Paunrana
Director

CONSOLIDATED STATEMENT OF CHANGES IN EQUITY

for the year ended 31 December 2005

	Share Capital Sh'000	Share premium Sh'000	Revaluation surplus Sh'000	Attributable to equity Revenue Reserve Sh'000	holders of the parent Sh'000	Minority interest Sh'000	Total Sh'000
At 1 January 2004	465,000	241,477	43,983	162,948	913,408	50,702	964,110
Exchange adjustment	-	-	-	3,282	3,282	1,617	4,899
Transfer of excess depreciation	-	-	(2,474)	2,474	-	-	-
Deferred tax on excess depreciation	-	-	742	(742)	-	-	-
Net profit for the year	-	-	-	115,998	115,998	720	116,718
Dividends:							
- declared 2003	-	-	-	(9,300)	(9,300)	-	(9,300)
- declared 2004	-	-	-	(37,200)	(37,200)	-	(37,200)
At 31 December 2004	465,000	241,477	42,251	237,460	986,188	53,039	1,039,227
At 1 January 2005	465,000	241,477	42,251	237,460	986,188	53,039	1,039,227
Exchange adjustment	-	-	-	(19,093)	(19,093)	(9,669)	(28,762)
Transfer of excess depreciation	-	-	(2,474)	2,474	-	-	-
Deferred tax on excess depreciation	-	-	742	(742)	-	-	-
Net profit for the year	-	-	-	195,124	195,124	4,380	199,504
At 31 December 2005	465,000	241,477	40,519	415,223	1,162,219	47,750	1,209,969

The revaluation surplus relates to surpluses arising from the revaluation of property, plant and equipment and it is not distributable.

COMPANY STATEMENT OF CHANGES IN EQUITY

for the year ended 31 December 2005

	Share Capital Sh'000	Share premium Sh'000	Revaluation surplus Sh'000	Attributable to equity Revenue Reserve Sh'000	holders of the parent Sh'000
At 1 January 2004	465,000	241,477	43,983	162,948	913,408
Transfer of excess depreciation	-	-	(2,474)	2,474	-
Deferred tax on excess depreciation	-	-	742	(742)	-
Net profit for the year	-	-	-	117,794	117,794
Dividends:					
- declared 2003	-	-	-	(9,300)	(9,300)
- declared 2004	-	-	-	(37,200)	(37,200)
At 31 December 2004	<u>465,000</u>	<u>241,477</u>	<u>42,251</u>	<u>235,974</u>	<u>984,702</u>
At 1 January 2005	465,000	241,477	42,251	235,974	984,702
Transfer of excess depreciation	-	-	(2,474)	2,474	-
Deferred tax on excess depreciation	-	-	742	(742)	-
Net profit for the year	-	-	-	202,148	202,148
At 31 December 2005	<u>465,000</u>	<u>241,477</u>	<u>40,519</u>	<u>439,854</u>	<u>1,186,850</u>

The revaluation surplus relates to surpluses arising from the revaluation of property, plant and equipment and it is not distributable.

CONSOLIDATED CASH FLOW STATEMENT

for the year ended 31 December 2005

		2005	2004
	Note	Sh'000	(restated) Sh'000
Operating activities			
Cash generated from operations	21(a)	326,179	274,117
Interest paid		(20,795)	(16,249)
Corporation tax paid		(56,636)	(42,341)
Net cash generated from operating activities		<u>248,748</u>	<u>215,527</u>
Investing activities			
Additions to property, plant and equipment		(957,654)	(326,702)
Proceeds from disposal of property, plant and equipment		500	1,290
Additions to leasehold land		-	(7,000)
Net cash used in investing activities		<u>(957,154)</u>	<u>(332,412)</u>
Financing activities			
Finance lease instalment payments		(12,966)	(3,748)
Loans received	21(c)	1,251,438	85,394
Repayment of amounts borrowed	21(c)	(160,026)	(50,935)
Dividends paid		-	(47,000)
Net cash generated from/(used in) financing activities		<u>1,078,446</u>	<u>(16,289)</u>
Increase/(decrease)/in cash and cash equivalents		370,040	(133,174)
Cash and cash equivalents 1 January		<u>(128,422)</u>	<u>4,752</u>
Cash and cash equivalents 31 December	21(b)	<u>241,618</u>	<u>(128,422)</u>

NOTES TO THE FINANCIAL STATEMENTS

for the year ended 31 December 2005

1 ACCOUNTING POLICIES

The financial statements have been prepared in accordance with International Financial Reporting Standards. The principal accounting policies adopted remain unchanged from the previous year except as stated below:

Adoption of new and revised international financial reporting standards

In 2005 several new and revised standards became effective for the first time and have been adopted by the company where relevant to its operations. The adoption of these new and revised standards had no effect on the amounts reported for the current or prior years. This only resulted in changes in presentation and disclosure:

- IAS 10 has affected the presentation of proposed dividends
- IAS 16 has required the disclosure of comparative figures for movements in property and equipment
- IAS 24 has required the disclosure of the compensation of key management personnel

At the date of authorisation of these financial statements IFRS 6 on Exploration for and Evaluation of Mineral Assets and IFRS 7 on Financial Instruments Disclosures were in issue but not yet effective. The adoption of these Standards, when effective, will have no material impact on the financial statements of the Group.

Basis of accounting

The company prepares its financial statements under the historical cost convention, modified to include the revaluation of property plant and equipment and financial instruments.

Basis of consolidation

Subsidiary undertakings, being those companies in which the Group either directly or indirectly has an interest of more than 50% of the voting rights or otherwise has power to exercise control over the operations have been consolidated. Subsidiaries are consolidated from the date on which effective control is transferred to the Group and are no longer consolidated as from the date of disposal. All inter company balances and unrealised surpluses and deficits on transactions with the subsidiary company have been eliminated.

The consolidated financial statements incorporate the financial statements of the company and its subsidiaries, ARM (Tanzania) Limited, Mavuno Fertilizer Limited and ARMSA (Pty) Limited, all made upto 31 December.

Revenue recognition

Turnover is recognised upon delivery of goods to customers and represents sales net of sales returns and value added tax.

Taxation

The taxation charge represents the sum of the current tax charge and the deferred taxation charge for the year.

Current taxation is provided on the basis of the results for the year, as shown in the financial statements, adjusted in accordance with tax legislation.

Deferred taxation is provided using the liability method for all temporary differences arising between the tax bases of assets and liabilities and their carrying values for financial reporting purposes. Currently enacted tax rates are used to determine deferred taxation.

NOTES TO THE FINANCIAL STATEMENTS - continued

for the year ended 31 December 2005

1 ACCOUNTING POLICIES - continued

A deferred tax asset is recognised to the extent that it is probable that future taxable profits will be available against which the unused tax credits can be utilised.

Property, plant and equipment

Property, plant and equipment are stated at cost or valuation (free hold land and buildings at open market value and other assets at depreciated replacement cost) less depreciation and any impairment losses. Increases in the carrying amounts of property, plant and equipment resulting from revaluation are credited to revaluation surplus.

Building products development costs

An intangible asset arising from development (or from the development phase of an internal project) is recognised if, and only if, the company is able to demonstrate:

- its intention to complete the intangible asset and use or sell it;
- how the intangible asset will generate probable future economic benefits.
- the availability of adequate technical, financial and other resources to complete the development and to use or sell the intangible asset; and
- its ability to measure the expenditure attributable to the intangible asset during its development reliably.

Expenditure incurred in developing new building products are deferred and written off over a period of 4 years, subject to a regular review for impairment.

Depreciation

No depreciation is provided on freehold land.

Depreciation is calculated to write off the cost or valuation of other items of property, plant and equipment in equal annual instalments over their estimated useful lives. The annual rates in use are:

Buildings	2.5%
Heavy commercial vehicles and quarrying equipment	10%
Plant, machinery and equipment	5% to 15%
Motor vehicles	10 % to 20%
Furniture and fittings	7.5% to 15%
Computer hardware	20% to 30%

Excess depreciation, representing the additional depreciation based on revalued amounts over depreciation based on historical costs, is transferred annually from revaluation surplus to revenue reserves.

Operating lease prepayments

Payments to acquire leasehold interest in land are treated as prepaid operating lease rentals and amortised over the period of the lease.

Intangible assets-computer software costs

Costs incurred on computer software are initially accounted for at cost as intangible assets and subsequently at cost less any accumulated amortisation and accumulated impairment losses. Amortisation is calculated on a straight line basis over the estimated useful lives not exceeding a period of 5 years.

NOTES TO THE FINANCIAL STATEMENTS - continued

for the year ended 31 December 2005

1 ACCOUNTING POLICIES - continued

Capital work in progress

Capital work in progress relates to property and plant under construction. Cost includes materials, direct labour and any other direct expenses incurred in respect of the project. The amounts are transferred to the appropriate property plant and equipment categories once the project is completed and commissioned.

Inventories

Finished goods inventories are stated at the lower of cost and net realisable value. Cost comprises direct production costs, rents, royalties, labour and relevant transport costs. Work in progress comprises raw materials, direct labour, other direct costs and related production overheads.

Raw materials and other inventories are stated at the lower of purchase cost and net realisable value.

Leases

Leases are classified as finance leases whenever the terms of the lease transfers substantially all the risks and rewards of ownership to the lessee. All other leases are classified as operating leases.

Assets held under finance leases are capitalised at their fair value on the inception of the lease and depreciated over their estimated useful lives. The finance charges are allocated over the period of the lease in proportion to the capital amount outstanding.

Rental payments in respect of operating leases are charged to the income statement in the year to which they relate.

Foreign currencies

Assets and liabilities expressed in foreign currencies are translated into Kenya Shillings at the rates of exchange ruling at the balance sheet date. Transactions during the year are translated at the rates ruling at the dates of the transactions. Gains and losses on exchange are dealt with in the income statement.

Borrowing costs

Borrowing costs directly attributable to the acquisition, construction or production of qualifying assets, which are assets that necessarily take a substantial period of time to get ready for their intended use or sale, are added to the cost of those assets, until such time as the assets are substantially ready for their intended use or sale. Investment income earned on the temporary investment of specific borrowings pending their expenditure on qualifying assets is deducted from the borrowing costs eligible for capitalisation.

All other borrowing costs are recognised in profit or loss in the period in which they are incurred.

Pension obligations

The group contributes to the statutory National Social Security Fund. This is a defined contribution scheme registered under the National Social Security Act. The group's obligations under the scheme are limited to specific contributions legislated from time to time and were fixed at Sh 200 per employee. The group's contributions are charged to the income statement in the year to which they relate.

Provision for liabilities and charges

Employees' entitlements to annual leave are recognised when they accrue to employees. Provision is made for the estimated liability in respect of annual leave accrued on the balance sheet date.

NOTES TO THE FINANCIAL STATEMENTS - continued

for the year ended 31 December 2005

1 ACCOUNTING POLICIES - continued

Financial instruments

Financial assets

Financial assets are recognised initially at cost using settlement date accounting. Receivables originated by the group and held to maturity investments are subsequently measured at amortised cost while financial assets held for trading and available for sale are measured at fair value. Gains and losses are recognised in the income statement except for available for sale financial assets where gains and losses are recognised in equity. All financial assets are subject to review for impairment at the year end.

Financial liabilities

Financial liabilities are recognised initially at cost, and subsequently measured at amortised cost.

Impairment

At each balance sheet date, the group reviews the carrying amounts of its assets to determine whether there is any indication that those assets have suffered an impairment loss. If any such indication exists, the asset's recoverable amount of the asset is estimated and an impairment loss is recognized in the income statement whenever the carrying amount of the asset exceeds its recoverable amount.

Comparatives

Where necessary, comparative figures have been adjusted to conform with changes in presentation in the current year.

NOTES TO THE FINANCIAL STATEMENTS - continued

for the year ended 31 December 2005

2a Primary segment information Business segments

Segment reporting

Segmental information is based on the primary format representing two business segments, cement and minerals and chemicals.

Segment results include revenue and expenses directly attributable to a segment.

Segment assets and liabilities comprise those operating assets and liabilities that are directly attributable to the segment or can be allocated to the segment on a reasonable basis.

Capital expenditure represents the total cost incurred during the year to acquire segment assets that are expected to be used during more than one period (property, plant and equipment).

The group is currently organised into two divisions. These divisions are the basis on which the group reports its primary segment information. The two divisions are:

Cement and special products and
Minerals and chemicals.

The table below shows the Group's revenue, expenses, segment assets, segment liabilities, capital expenditure and depreciation analysed by division.

	CEMENT AND SPECIAL PRODUCTS		CHEMICALS AND MINERALS		TOTAL	
	2005	2004	2005	2004	2005	2004
	Sh'000	Sh'000	Sh'000	Sh'000	Sh'000	Sh'000
Sales & other income	1,104,410	968,717	1,119,483	671,298	2,223,893	1,640,015
Expenditure	<u>981,324</u>	<u>885,861</u>	<u>946,649</u>	<u>581,786</u>	<u>1,927,973</u>	<u>1,467,647</u>
Profit before taxation	123,086	82,856	172,834	89,512	295,920	172,368
Taxation	<u>(44,523)</u>	<u>(26,750)</u>	<u>(51,893)</u>	<u>(28,900)</u>	<u>(96,416)</u>	<u>(55,650)</u>
Profit after taxation	<u>78,563</u>	<u>56,106</u>	<u>120,941</u>	<u>60,612</u>	<u>199,504</u>	<u>116,718</u>
Assets	1,889,472	1,041,521	1,315,456	984,470	3,204,928	2,025,991
Liabilities	1,526,490	518,054	502,205	468,710	2,028,695	986,764
Depreciation and Amortisation	32,487	34,647	59,745	50,957	92,232	85,604
Capital expenditure	<u>847,951</u>	<u>165,181</u>	<u>133,353</u>	<u>181,340</u>	<u>981,304</u>	<u>346,521</u>

2b Secondary segment information Geographical segments

The group's revenues are derived from sales in the following markets:

	2005	2004
	Sh'000	Sh'000
Kenya	1,529,038	1,153,718
Other	<u>694,855</u>	<u>486,297</u>
	<u>2,223,893</u>	<u>1,640,015</u>

NOTES TO THE FINANCIAL STATEMENTS - continued

	2005	2004
	Sh'000	Sh'000
3 Operating profit		
The operating profit is arrived at after (crediting)/charging:		
Depreciation	92,232	85,204
Amortisation	243	68
Operating lease rentals - property	3,000	3,000
Directors' emoluments:		
Fees	3,336	1,967
Other emoluments	29,749	24,767
Staff costs (note 5)	196,397	150,712
Auditors' remuneration - company	1,792	1,400
- subsidiaries	648	386
(Gain)\loss on disposal of motor vehicles	(406)	235
4 Finance costs (net)		
Interest payable:		
- Loans	5,263	9,056
- Bank overdrafts	15,532	6,370
- Commercial Paper	-	823
- Corporate bond	15,123	-
Total borrowing costs	35,918	16,249
Less: Amounts included in the cost of qualifying assets	(15,123)	-
	20,795	16,249
Net foreign exchange losses / (gains)	1,375	(2,075)
	22,170	14,174
Borrowing costs included in the cost of qualifying assets in the year arose following the bond issue during the year.		
5 Staff costs		
Wages and salaries	190,490	146,054
Social security cost (NSSF)	3,791	2,583
Termination benefits	-	644
Leave pay	2,116	1,431
	196,397	150,712
Executive directors' emoluments	27,792	24,767
	224,189	175,479

NOTES TO THE FINANCIAL STATEMENTS - continued

for the year ended 31 December 2005

	2005	2004
	Sh'000	Sh'000
6 Taxation		
(a) Tax charge		
Current taxation based on adjusted profit at 30%	54,828	53,314
Deferred tax expense - current year	37,849	2,336
- prior year	4,099	-
Total deferred tax expense (note 18)	41,588	2,336
	<u>96,416</u>	<u>55,650</u>
(b) Reconciliation of tax based on accounting profit to tax expense		
Accounting profit before taxation	295,920	172,368
Tax at the applicable rate of 30%	88,776	51,710
Tax effect of expenses not deductible for tax purposes	7,640	3,940
	<u>96,416</u>	<u>55,650</u>
7 Profit attributable to shareholders		
The profit attributable to shareholders dealt with in the company financial statements of Athi River Mining Limited is Sh 202,148,000 (2004 - Sh 117,794,000).		
8 (a) Earnings per share		
Basic earnings per share has been calculated on the profit after taxation attributable to equity holders of the parent of Sh 195,124,000 (2004 - Sh 82,262,000) divided by the number of ordinary shares in issue during the year of 93,000,000 (2004 - 93,000,000). Diluted earnings per share is the same as the basic earnings per share.		
(b) Dividends		
The directors propose the payment of a first and final dividend of Sh 0.75 (2004 - Sh 0.40) per share totaling Sh 69,750,000 in respect of the year ended 31 December 2005 (2004 - Sh 37,200,000).		

NOTES TO THE FINANCIAL STATEMENTS - continued

for the year ended 31 December 2005

9 (a) Property, plant and equipment - Group

	Freehold land and buildings	Buildings on leasehold land	Heavy commercial vehicles and, quarrying equipment	Computer hardware plant, machinery, motor vehicles furniture and fittings	Capital work in progress	Total
	Sh'000	Sh'000	Sh'000	Sh'000	Sh'000	Sh'000
COST OR VALUATION						
At 1 January 2004	69,978	161,590	159,899	805,795	300,155	1,497,417
Additions	6,382	19,131	36,704	26,133	253,102	341,452
Transfers	4,363	7,926	3,813	283,658	(299,760)	-
Disposals	-	-	-	(2,462)	-	(2,462)
Translation gains	-	-	-	-	5,069	5,069
At 31 December 2004	80,723	188,647	200,416	1,113,124	258,566	1,841,476
At 1 January 2005	80,723	188,647	200,416	1,113,124	258,566	1,841,476
Additions	9,087	597	63,327	13,339	894,954	981,304
Transfers	-	-	-	144,771	(144,771)	-
Disposals	-	-	(250)	(3,966)	-	(4,216)
Translation loss	(5,801)	(748)	(39,857)	(5,826)	(440)	(52,672)
At 31 December 2005	84,009	188,496	223,636	1,261,442	1,008,309	2,765,892
Comprising						
At cost	33,076	31,104	205,628	1,131,387	1,008,309	2,409,504
At valuation 1992	-	-	18,008	18,819	-	36,827
At valuation 1994	-	-	-	111,236	-	111,236
At valuation 1996	50,933	157,392	-	-	-	208,325
	84,009	188,496	223,636	1,261,442	1,008,309	2,765,892
DEPRECIATION						
At 1 January 2004	8,379	27,911	94,263	293,375	-	423,928
Charge for the year	-	4,756	16,922	63,526	-	85,204
Eliminated on disposals	-	-	-	(937)	-	(937)
At 31 December 2004	8,379	32,667	111,185	355,964	-	508,195
At 1 January 2005	8,379	32,667	111,185	355,964	-	508,195
Charge for the year	-	4,546	18,171	69,515	-	92,232
Eliminated on disposals	-	-	(156)	(52)	-	(208)
Translation loss	-	(36)	(235)	(3,041)	-	(3,312)
31 December 2005	75,630	151,319	94,671	839,056	1,008,309	2,168,985
Net book value						
At 31 December 2005	81,431	152,031	134,293	841,841	959,389	2,168,985
At 31 December 2004	72,344	155,980	89,231	757,160	258,566	1,333,281
Historical cost net book value						
At 31 December 2005	54,935	120,742	134,293	841,841	959,390	2,111,201
At 31 December 2004	52,523	115,442	89,231	757,160	258,566	1,272,922

Freehold land and buildings with a net book value of Sh 413,843,000 (2004 - Sh 224,324,000) have been charged to secure banking facilities granted to the company as disclosed in Note 18.

NOTES TO THE FINANCIAL STATEMENTS - continued

for the year ended 31 December 2005

9 (a) Property, plant and equipment - Company

	Freehold land and buildings	Buildings on leasehold land	Heavy commercial vehicles and, quarrying equipment	Computer hardware plant, machinery, motor vehicles furniture and fittings	Capital work in progress	Total
	Sh'000	Sh'000	Sh'000	Sh'000	Sh'000	Sh'000
COST OR VALUATION						
At 1 January 2004	69,978	161,590	159,899	805,795	70,514	1,267,776
Additions	6,382	-	36,704	6,279	241,694	291,059
Transfers	-	17,511	-	34,216	(51,727)	-
Disposals	-	-	(2,889)	(2,462)	-	(5,351)
At 31 December 2004	76,360	179,101	193,714	843,828	260,481	1,553,484
At 1 January 2005	76,360	179,101	193,714	843,828	260,481	1,553,484
Additions	9,087	330	59,361	6,453	871,790	947,021
Transfers	-	-	-	144,771	(144,771)	-
Disposals	-	-	(250)	-	-	(250)
At 31 December 2005	85,447	179,431	252,825	995,052	987,500	2,500,255
Comprising						
At cost	34,514	22,039	234,817	864,997	987,500	2,143,867
At valuation 1992	-	-	18,008	18,819	-	36,827
At valuation 1994	-	-	-	111,236	-	111,236
At valuation 1996	50,933	157,392	-	-	-	208,325
	85,447	179,431	252,825	995,052	987,500	2,500,255
DEPRECIATION						
At 1 January 2004	8,379	32,457	107,259	337,267	-	485,362
Charge for the year	-	4,546	17,436	50,118	-	72,100
Eliminated on disposals	-	-	(156)	-	-	(156)
At 31 December 2004	8,379	37,003	124,539	387,385	-	557,306
At 1 January 2005	8,379	32,457	107,259	337,267	-	485,362
Charge for the year	-	4,546	17,436	50,118	-	72,100
Eliminated on disposals	-	-	(156)	-	-	(156)
31 December 2005	8,379	37,003	124,539	387,385	-	557,306
Net book value						
At 31 December 2005	77,068	142,428	128,286	607,667	987,500	1,942,949
At 31 December 2004	67,981	146,644	86,455	506,561	260,481	1,068,122
Historical cost net book value						
At 31 December 2005			128,286	607,667	987,500	1,881,562
At 31 December 2004	48,160	106,106	86,455	506,561	260,481	1,007,763

Freehold land and buildings with a net book value of Sh 345,000,000 (2004 - Sh 214,625,000) have been charged to secure banking facilities granted to the company as disclosed in Note 18.

NOTES TO THE FINANCIAL STATEMENTS - continued

for the year ended 31 December 2005

10 Operating lease prepayments

	Group Sh'000	Company Sh'000
COST		
As at 1 January 2005	9,707	2,707
Additions	<u>3,537</u>	<u>-</u>
At 31 December 2005	<u>13,244</u>	<u>2,707</u>
AMORTISATION		
At 1 January 2005	359	359
Amortisation charge for the year	<u>243</u>	<u>67</u>
At 31 December 2005	<u>602</u>	<u>426</u>
NET BOOK VALUE		
At 31 December 2005	<u>12,642</u>	<u>2,281</u>
At 31 December 2004	<u>9,348</u>	<u>2,348</u>
11 Investment in subsidiaries		
ARM (Tanzania) Limited 67% owned	102,939	102,939
ARMSA (Pty) Limited 100% owned	33,014	33,014
Mavuno Fertilizer Limited 100% owned	<u>7,259</u>	<u>7,259</u>
	<u>143,212</u>	<u>143,212</u>

The investments in the subsidiaries are stated at cost less impairment losses where applicable. ARM (Tanzania) Limited is incorporated and domiciled in Tanzania while ARMSA (Pty) Limited is incorporated and domiciled in South Africa. Mavuno Fertilizer Limited is incorporated and domiciled in Kenya.

NOTES TO THE FINANCIAL STATEMENTS - continued

for the year ended 31 December 2005

	GROUP		COMPANY	
	2005	2004	2005	2004
	Sh'000	Sh'000	Sh'000	Sh'000
12 Inventories				
Raw materials	120,978	218,503	112,942	197,327
Work in progress	50,467	39,102	5,561	22,177
Finished goods	75,179	45,839	56,388	36,270
Stores, spares and laboratory	34,642	20,025	30,829	20,025
	<u>281,266</u>	<u>323,469</u>	<u>205,720</u>	<u>275,799</u>
13 Trade and other receivables				
Trade receivables	367,414	332,969	302,374	264,919
Other receivables and prepayments	106,170	15,252	97,135	14,182
	<u>473,584</u>	<u>348,221</u>	<u>399,509</u>	<u>279,101</u>
14 Due from related parties company				
ARM (Tanzania) Limited			43,195	33,972
ARM SA (Pty) Limited			66,297	23,009
			<u>109,492</u>	<u>56,981</u>
15 Share capital Group and Company				
Authorised:				
110,000,000 (2004 - 94,000,000) ordinary shares of Sh 5 each			<u>550,000</u>	<u>470,000</u>
Issued and fully paid:				
93,000,000 (2004 - 93,000,000) ordinary shares of Sh 5 each			<u>465,000</u>	<u>465,000</u>
16 Minority interest-Group				
At 1 January			53,039	50,702
Share of profit for the year			4,380	720
Translation (loss)/gain			(9,669)	1,617
			<u>47,750</u>	<u>53,039</u>

NOTES TO THE FINANCIAL STATEMENTS - continued

for the year ended 31 December 2005

17 (a) Borrowings -Group

Bank overdrafts
Bank loans
Corporate bond

2005	2004
Sh'000	Sh'000
60,569	140,094
503,157	219,771
815,123	-
<u>1,378,849</u>	<u>359,865</u>
90,018	201,460
26,655	50,417
1,016,201	107,988
245,975	-
<u>1,378,849</u>	<u>359,865</u>
90,018	201,460
<u>1,288,831</u>	<u>158,405</u>

The borrowings are repayable as follows:

On demand or within one year
In the second year
After 2 years but within 5 years
After 5 years

Less: amounts due for settlement within one year

Amount due for settlement after one year

Analysis of borrowings by currency

	Borrowings in US\$	Kshs equivalent Sh'000	Borrowing in local currency Sh'000	Total Borrowing Sh'000
2005				
Bank overdrafts	-	-	60,569	60,569
Bank loans	1,236,875	89,633	413,524	503,157
Corporate bond	-	-	815,123	815,123
At 31 December 2005	<u>1,236,875</u>	<u>89,633</u>	<u>1,289,216</u>	<u>1,378,849</u>
2004				
Bank overdrafts	-	-	140,094	140,094
Bank loans	1,414,375	109,423	110,348	219,771
At 31 December 2004	<u>1,414,375</u>	<u>109,423</u>	<u>250,442</u>	<u>359,865</u>

NOTES TO THE FINANCIAL STATEMENTS - continued

for the year ended 31 December 2005

17 (a) Borrowings Group (Continued)

The average interest rates paid were as follows:

	2005	2004
	%	%
Bank overdrafts	13.50	8.94
Bank loans (Sh)	13.50	9.23
Bank loans (USD)	9.23	4.81
Commercial paper	8.95	-
Corporate bond	10.00	-

Details of securities for loans and overdrafts

The general short term banking, letters of credit and foreign currency facilities with Stanbic Bank Kenya Limited are secured by first ranking debenture over all the company's assets for Sh 225,000,000.

The overdraft facility, commercial paper and Letter of credit with Bank of Africa Kenya Limited are secured by a pari passu debenture for Sh 120m over all the assets of the Company.

The overdraft and loan facilities with Barclays Bank of Kenya Limited are secured by a legal charge over certain properties and a debenture of Sh 264m over all the assets of the Group.

The long term loan of USD 1,000,000 is secured by a first ranking legal mortgage on the subsidiary company's (ARM (Tanzania) Limited)) assets located on plot No. 1 Industrial Area Maweni Tanga Municipality and a first ranking floating debenture on the company's assets present and future.

The corporate bond is unsecured and matures in 2010.

17 (b) Borrowings -Company

	2005	2004
	Sh'000	Sh'000
Bank overdrafts	60,262	133,536
Bank loans	419,987	142,397
Corporate bond	815,123	-

<u>1,295,372</u>	<u>275,933</u>
------------------	----------------

The borrowings are repayable as follows:

On demand or within one year	85,389	194,902
In the second year	12,329	50,417
After 2 years and within 5 years	951,679	30,614
After 5 years	245,975	-

<u>1,295,372</u>	<u>275,933</u>
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Less: amounts due for settlement within one year	<u>85,389</u>	<u>194,902</u>
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Amount due for settlement after one year	<u>1,209,983</u>	<u>81,031</u>
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NOTES TO THE FINANCIAL STATEMENTS - continued

for the year ended 31 December 2005

17 (b) Borrowings Company (Continued)

Analysis of borrowing by currency

	Borrowings in US\$	Kshs equivalent Sh'000	Borrowing in local currency Sh'000	Total Borrowing Sh'000
2005				
Bank overdrafts	-	-	60,262	60,262
Bank loans	286,875	20,789	399,198	419,987
Corporate bond	-	-	815,123	815,123
At 31 December 2005	286,875	20,789	1,274,583	1,295,372
2004				
Bank overdrafts	-	-	133,536	133,536
Bank loans	414,375	32,049	110,348	142,397
At 31 December 2004	414,375	32,049	243,884	275,933

The average interest rates paid were as follows:

	2005	2004
	%	%
Bank overdrafts	13.50	8.94
Bank loans (Sh)	9.23	8.23
Bank loans (USD)	8.95	4.12
Corporate bond	10.00	Nil

Details of securities for loans and overdrafts

The general short term banking, letters of credit and foreign currency facilities with Stanbic Bank Kenya Limited are secured by a first ranking debenture over all the company's assets for Sh 225,000,000.

The overdraft facility, commercial paper and Letters of credit with Bank of Africa Kenya Limited are secured by a pari passu debenture for Sh 120m over all the assets of the company.

The overdraft and loan facilities with Barclays Bank of Kenya Limited are secured by a legal charge over certain properties and a debenture of Sh 264m over all the assets of the Group.

The corporate bond is unsecured and matures in 2010.

NOTES TO THE FINANCIAL STATEMENTS - continued

for the year ended 31 December 2005

18 Deferred income taxes

Deferred income taxes are calculated on all temporary differences under the liability method using the currently enacted tax rate of 30%.

	GROUP		COMPANY	
	2005	2004	2005	2004
	Sh'000	Sh'000	Sh'000	Sh'000
The net deferred taxation liability is attributable to the following items:				
Accelerated capital allowances	270,314	212,335	184,094	142,401
Revaluation surplus	17,365	18,107	17,365	18,107
Leave pay provision	(629)	(429)	(560)	(429)
Unrealised gain	(3,371)	315	(1,301)	-
Accumulated losses	(81,716)	(69,953)	-	-
	<u>201,963</u>	<u>160,375</u>	<u>199,598</u>	<u>160,079</u>
The movement on the deferred tax account is as follows:				
At 1 January	160,375	158,039	160,079	158,039
Income statement charge note 6(a)	<u>41,588</u>	<u>2,336</u>	<u>39,519</u>	<u>2,040</u>
At 31 December	<u>201,963</u>	<u>160,375</u>	<u>199,598</u>	<u>160,079</u>

19 Finance leases

Company and group

	Minimum lease payments		Present value of minimum payments	
	2005	2004	2005	2004
	Sh'000	Sh'000	Sh'000	Sh'000
Amounts payable under finance leases				
Within one year	15,707	7,439	12,389	5,785
In the second to fifth years inclusive	<u>19,988</u>	<u>11,817</u>	<u>17,436</u>	<u>13,367</u>
	35,694	19,256	29,825	19,152
Less: Future finance charges	<u>(5,869)</u>	<u>(3,213)</u>	-	-
Present value of lease obligations	<u>29,825</u>	<u>16,042</u>	29,825	19,152
Less: Amount due for settlement within 12 months			<u>(12,389)</u>	<u>(5,785)</u>
Amounts due for settlement after 12 months			<u>17,436</u>	<u>13,367</u>

NOTES TO THE FINANCIAL STATEMENTS - continued

for the year ended 31 December 2005

19 Finance leases (continued)

Analysis by cash flows:

	GROUP		COMPANY	
	2005	2004	2005	2004
	Sh'000	Sh'000	Sh'000	Sh'000
At the beginning of the year	19,152	8,150	16,042	8,150
New financing received	23,650	14,750	23,650	10,209
Finance leases repaid in the year	(12,977)	(3,748)	(9,867)	(2,317)
At 31 December	29,825	19,152	29,825	16,042

It is the group's policy to lease some of its motor vehicles under finance leases. The average lease term is 4 years. The weighted average rate of interest on the obligation under hire purchase agreements as at 31 December 2005 was 9% (2004: 9.7%). Interest rates are fixed at the contract date. All leases are on a fixed repayment basis and no arrangements have been entered into for contingent rental payments.

The carrying value of the company's lease obligations approximates their fair values.

The company's obligations under the finance leases are secured by the lessor's charges over the leased assets.

20 Trade and other payables

	GROUP		COMPANY	
	2005	2004	2005	2004
	Sh'000	Sh'000	Sh'000	Sh'000
Trade payables	338,030	411,957	302,667	364,875
Other payables and accruals	48,643	9,076	52,087	8,745
Leave pay provision	2,096	1,431	1,866	1,431
Directors' accounts	1,116	423	1,112	423
	389,885	422,887	357,732	375,474

NOTES TO THE FINANCIAL STATEMENTS - continued

for the year ended 31 December 2005

	2005	2004
	Sh'000	Sh'000
21 Notes to the cash flow statement		
(a) Reconciliation of operating profit to cash generated from operations:		
Operating profit	318,090	186,542
Adjustments:		
Depreciation	92,232	85,204
Amortisation	243	68
(Profit)/loss on disposal of motor vehicles	(3,602)	235
Realised exchange (loss)/gains	(1,554)	1,743
Amortisation of deferred expenditure	-	3,163
Effects of exchange rate changes	36,932	-
Operating profit before working capital changes	442,341	276,955
Decrease/ (increase) in inventories	42,203	(172,585)
Increase in trade and other receivables	(125,363)	(51,846)
(Decrease)/Increase in trade and other payables	(33,002)	221,593
Cash generated from operations	326,179	274,117
(b) Analysis of additions to property, plant and equipment		
Acquisitions by cash	957,654	326,702
Acquisitions through finance leases (note 19)	23,650	14,750
At 31 December	981,304	341,452
(c) Analysis of balances of cash and cash equivalents		
Cash and bank balances	302,187	11,672
Bank overdrafts	(60,569)	(140,094)
At 31 December	241,618	(128,422)

For the purpose of the cash flow statement, cash equivalents include short term liquid investments which are readily convertible to known amounts of cash and which were within three months to maturity when acquired, less advances from banks repayable within three months from the date of advance.

NOTES TO THE FINANCIAL STATEMENTS - continued

for the year ended 31 December 2005

21 Notes to the cash flow statement (continued)

(d) Loans

	2005 Sh'000	2004 Sh'000
At 1 January	219,771	185,644
Repayment	(160,026)	(50,935)
Received	1,251,438	85,394
Accrued interest on corporate bond	15,123	-
Exchange adjustment	(8,026)	(332)
	<u>1,318,280</u>	<u>219,771</u>

22 Related parties

Parties are considered to be related if one party has the ability to control the other party or exercise significant influence over the other party in making financial or operational decisions.

The following transactions were carried out with related parties:

Raw material purchases during the year from Bamburi Cement Limited amounted to Sh 289,449,946 (2004 Sh 269,769,237). The outstanding balance at year end due to Bamburi Cement Limited was Sh 54,649,492 (2004 Sh 47,414,671). This balance is included under Trade and other payables. Bamburi Cement Limited is both a shareholder and a director of the company.

All transactions with related parties are at arm's length and in the normal course of business.

Key management compensation

The remuneration of directors and other members of key management during the year were as follows:

	2005 Sh	2004 Sh
Salaries and other benefits	<u>71,265</u>	<u>59,591</u>
Directors' remuneration		
Fees for services as directors	3,376	1,967
Other emoluments (included in key management compensation above)	<u>29,749</u>	<u>24,767</u>
	<u>33,125</u>	<u>26,734</u>

NOTES TO THE FINANCIAL STATEMENTS - continued

for the year ended 31 December 2005

	2005	2004
	Sh'000	Sh'000
23 Capital commitments		
Authorised and contracted for	365,000	1,041,000
Authorised but not contracted for	158,000	51,000
24 Contingent liabilities		
Guarantees	38,028	48,270
25 Incorporation		
The company is domiciled and incorporated in Kenya under the Companies Act.		
26 Currency		
The financial statements are presented in Kenya Shillings thousands (Sh'000).		

SHAREHOLDERS' INFORMATION

The ten largest shareholdings in the company and the respective number of shares held at 31 December 2005 are as follows:

Name of shareholder	Number of shares	% Shareholding
1. Pradeep Harjivandas Paurana	44,731,049	48.097
2. Bamburi Cement Limited	13,968,300	15.019
3. Orthodox Archbishopric of Kenya & Irinoupolis	1,852,200	1.991
4. Alan Pickering	1,200,000	1.290
5. Wilfred Murungi	1,058,400	1.138
6. Insurance Company of East Africa	1,001,780	1.077
7. National Social Security Fund Board of Trustees	870,000	0.935
8. Mrs. Anjan Pradeep Paurana	756,049	0.812
9. Barnard Nominees Limited a/c 02231	700,000	0.752
10 Barclays Kenya Nominees non resident 9190	561,200	0.603
Others	26,301,022	28.281
Total	93,000,000	100.00

Distribution of shareholders as at 31st December 2005

Number of shares	Number of shareholders	Number of shares	% Shareholding
Less than 500	1,204	285,456	0.31
501 - 5,000	4,943	7,931,380	8.53
5,001 - 10,000	380	2,878,307	3.10
10,001 - 100,000	297	8,019,832	8.62
100,001 - 1,000,000	42	10,060,824	10.81
Over 1,000,000	6	63,824,201	68.63
Total	6,872	93,000,000	100.00

PROXY FORM

I / We _____

of _____

being a member(s) of the above named Company, hereby appoint: _____

of _____

or failing him / her _____

of _____

as my / our proxy to vote for me / us and on my / our behalf at the Annual General Meeting of the Company to be held on the 8th of June 2006 and at any adjournment thereof.

Number of shares held _____

Account number of member _____

As witness my / our hand this _____ day of _____ 2006

Signed _____

Note:

1. A member entitled to attend and vote at the meeting is entitled to appoint one or more proxies to attend and vote in his stead.
A proxy need not be a member of the company.
2. In case of a member being a corporation, this form must be completed either under its common seal, or under the hand of an officer or duly authorized attorney.
3. To be valid, the proxy form must be deposited at the registered office of the company not less than 48 hours before the time fixed for the meeting.
4. If you wish you may appoint the chairman of the meeting as your proxy.

FOLD

The Secretary,
Athi River Mining Ltd.
P. O. Box 41908 - 00100 GPO
Nairobi, Kenya.

FOLD

ARM Products and Industries Served

	Limestone	Dolomite	Magnesite	Gypsum	Kaolin	Feldspar	Barytes	Bentonite	Quartz	Quick & Hydrated Lime	Sodium Silicate	Mavuno Fertilizer	Rhino Cement	Wallmaster	Sealmaster
A Agriculture and Food															
Animal Feeds	✓	✓	✓	✓				✓							
Pesticides	✓				✓					✓					
Edible Oil	✓				✓										
Soil Fertility	✓	✓	✓	✓						✓		✓			
Sugar										✓					
Pharmaceuticals	✓		✓												
Brewing				✓						✓					
Fruit & Vegetable Preserve										✓					
B Manufacturing and Mining															
Steel Casting & Foundry	✓		✓					✓	✓		✓				
Soaps & detergents	✓				✓						✓				
Paints & Coatings	✓	✓			✓	✓									
Window Putty & Sealants	✓					✓									
Rubber Products & Footwear	✓				✓						✓				
Glass	✓	✓		✓		✓			✓						
Foam Products & Mattress	✓														
Roofing Felts & Acid Proofing Coating	✓					✓			✓						
Abrasives						✓			✓						
Scouring Powders & Paste	✓				✓										
Ceramic Tiles	✓			✓	✓				✓						
Cosmetics															
Adhesives & Glue	✓							✓							
PVC Pipes, Tiles & Rexin	✓														
Textile Printing												✓			
Paper & Carton Manufacturing	✓				✓							✓			
Printing Inks	✓														
Waxes & Polishes	✓														
Welding Rods						✓						✓			
Leather Tanning										✓	✓				
Ferro-Chrome Processing											✓				
Gold Processing	✓									✓					
Copper Processing	✓									✓					
Other Mineral Beneficiation												✓			
Refractory			✓								✓				
C Construction and Roads															
Crack and Grout Fillers	✓														
Soil Stabilization										✓					
Dam Lining (Civil Engineering)								✓							
Bore Hole Drilling								✓							
Decorative Plasters													✓	✓	
Road Foundation & Asphalt Surfacing	✓								✓	✓			✓		
Mortars & Concrete										✓			✓		
Terrazzo Flooring				✓									✓		
White Washing & Disinfecting										✓					
Cement Water Proofing															✓
D Environment and Miscellaneous															
Drinking Water Treatment										✓					
Sewage & Effluent Treatment										✓					
Stack Gases Treatment										✓					
Oil Well Drilling								✓			✓				

